

finding these patterns and solve the trading problem. We'll look at identification guidelines shortly.

The above Results Snapshot reveals that the average rise in bull markets isn't exciting (meaning it's low), but this pattern does give traders the opportunity to ride price higher (to match the high on the left side of the V). Unfortunately, even that target is difficult to reach.

However, in bear markets the performance rank places it fifth out of 20 where a rank of 1 is best. So this chart pattern is an exceptionally good player in bear markets. I can imagine bear markets sending price down steeply followed by a snap recovery.

Let's see what a V-bottom pattern looks like.

Tour

[Figure 69.1](#) shows a good example of a V-bottom that works as one would hope. Price starts its steep plunge at A. The drop is extensive on a percentage basis, and price makes its way down to B, where it bottoms. A few days after reaching B, the stock marches upward, posting higher highs and higher lows.

The chart pattern reminds me of mountain climbers who fall into a crevasse. After hitting bottom, they gather their wits and start climbing out (or are pulled out), forming the right side of the pattern. Notice that they don't slip much, meaning there are few or no retraces along the way. The climb out of the crevasse builds the right side of the V, which mirrors the left side. The climbers make it up to D, completing the V-bottom.

Volume trends upward in this example and that's typical. However, the percentages are almost random; 59% show volume trending higher from start to end of the pattern (meaning 41% have receding volume) in bull markets.